

2 ACCUSED OF PLOTS TO SHIP SENSITIVE GOODS TO IRAN

ARIZONA, VIRGINIA BUSINESSMEN ARRESTED

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By United Press International

Two U.S. businessmen -- one in Arizona and one in Virginia -- have been arrested on charges they conspired to ship sensitive electronics equipment to Iran in separate violations of federal arms export laws, federal prosecutors said yesterday.

Floyd Stilwell, 61, president of Marsh Aviation in Mesa, Ariz., was taken into custody at his company's offices on charges of violating a U.S. trade embargo imposed against Iran in 1979.

According to a federal indictment unsealed in San Diego, Stilwell took part in a scheme to ship special electronic sensors made by Teledyne Ryan Electronics of San Diego to Iran for use in the flight control and weapons delivery systems of Iranian warplanes.

He is charged specifically with submitting export information to the State Department, the U.S. Customs Service and Teledyne falsely stating that the components were destined for West Germany, rather than Iran,

Assistant U.S. Attorney Philip Halpern said.

In a separate case, James Edward Miller, head of Miller Construction Inc., of Virginia Beach, was arrested Tuesday outside a Norfolk restaurant on a charge of conspiracy to violate the U.S. Arms Export Control Act.

He was one of three men named in a federal indictment handed up in Dallas March 31.

The two others were Miller's father-in-law, John Richard Brown, and Achmed Kashani, an Iranian living in Madrid. Brown and Kashani remain at large, Assistant U.S. Attorney Harvey Bryant said in Norfolk.

Miller appeared before a U.S. magistrate in Norfolk late Tuesday and was ordered held without bond pending a detention hearing today.

He is accused of purchasing from undercover customs agents a special microwave tube used to seek out missile targets.

The part, used in land-based radar-guided missile systems, was faulty, federal officials said.

According to the indictment, Miller gave a down payment of \$40,000 for the \$110,000 part, then shipped it in September from Dallas to Geneva, where he met with Kashani, U.S. Attorney Robert Webster said in Dallas.

"They claimed they were working for the Iranian government, but they

were also working on their own," Kelley said, adding that Kashani

allegedly received a \$10,000 kickback.

"Kashani is an individual who has stated that he is of importance and

a key figure in obtaining materials for the Iranian government," Kelley

said.

"He's a fugitive as far as we're concerned, and he is somewhere in

Europe."
